LEATHER

Back on Its Feet

The leather and footwear industry can now recoup heavy losses



Few labour-intensive sectors felt the shock of last year's tariff turbulence as sharply as leather. Exports stalled, peak-season orders vanished, and clusters in Uttar Pradesh, Tamil Nadu and West Bengal ran well below capacity just when factories should have been at full tilt. New trade arrangements with the US, the EU and the UK have now revived hopes that the worst may be over for an industry that employs millions and depends heavily on external markets. India's leather and leather-products exports stand at $4.83 billion (over Rs 40,000 crore). The US alone accounts for 20–22 per cent of that, making it India's single largest country market. In FY25, exports to the

US DEAL	EU DEAL
Leather & leather products exports to the US (FY25)	Leather & leather products exports to the EU (FY25)
$1 bn	$2 bn
60%*	17%*
28%*	0%

*up to Earlier tariff Tariff now

India enjoys a substantial trade surplus in this sector, with exports far exceeding imports. Still the two deals bring good tidings for importers, as import tariffs are set to slash from 4–9 per cent to nearly nil

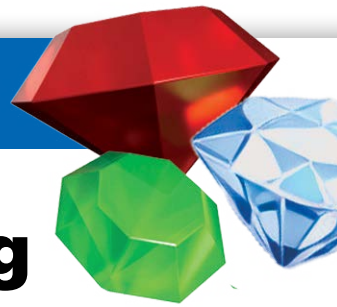
forces Indian exporters to confront. Preferential access to the EU is valuable precisely because it is demanding. Food safety, traceability, environmental compliance and product quality will determine whether Indian goods can scale successfully in Europe. The agreement is, therefore, a catalyst for domestic upgrading.

The US deal, by contrast, reflects the realities of power politics. It removes a debilitating tariff overhang for Indian exporters and restores predictability, but also illustrates the compromises inherent in negotiating in an uncertain world. Critics have questioned the asymmetry between India's permanent tariff concessions and Washington's conditional, reversible measures. Goyal counters that the approach is carefully calibrated. He says, "We have got an understanding with the United States that, should the reciprocal tariffs be taken off for everybody, we too will have the opportunity to recalibrate our concessions. So, it's a very well-understood and balanced relationship." Adds Prof. Amit Batra of the School of International Studies, JNU, "The trade agreements with the UK and EU are hugely positive moves, and the manner in which they were done, as evident from available details, show that they are relatively deeper agreements than what we signed two decades ago. On the US trade deal, full details are not yet available, but it indicates a move towards more trade liberalisation."

Preferential access to the EU is valuable precisely because it is demanding. The FTA will be a catalyst for domestic upgrading

Yet, the US deal comes with controversy. One point of concern is the reported intent for India to import $500 billion (Rs45.3 kh crore) worth of American goods over five years when the current average imports from the US are valued at $46 billion (Rs 4.2 lakh crore). Congress leader Rahul Gandhi pointed out in the Lok Sabha that India would have to treble its imports from

GEMS & JEWELLERY



Regaining Its Shine

The sector breathes easy as it regains access to its critical market

The gems and jewellery sector has been one of the big near-term winners from India's trade deals with the US and EU. Together, the deals restore tariff predictability, reopen stalled markets and revive confidence in a sector that suffered a big shock in 2025 as tariffs wiped out competitiveness almost overnight. This has lifted the spirits of one of India's most labour-intensive export industries, employing some 5 million skilled/semi-skilled workers.

The US remains India's most critical market, accounting for over one-third of total gems and jewellery exports, valued at $9.23 billion (Rs 83,718 crore). That dependence became a vulnerability last year when duties on polished diamonds and coloured gemstones jumped from zero to 10 per cent in April 2025 and then surged to 50 per cent by August. The fallout was severe. Jewellery exports to the US collapsed 55.5 per cent to $3.86 billion (Rs 35,022 crore) between April–